current fee practice for the exclusive SIPs. Thus it is possible this pricing method will carry over into the new market under the amendments.[2197] On the other hand, it is also possible that the effective national market system plan(s) will choose different price levels based on the scope of data content market participants consume,[2198] especially because competing consolidators are not required to offer the entire data content of consolidated market data. As a result, the Commission acknowledges that the amendments could decrease or keep at similar rates the content fees for the equivalent of SIP data.[2199] The outcome is dependent on the effective national market system data plan(s)' fee proposals.[2200]

b. Consolidation and Dissemination Fees

The fees for data consolidation and dissemination depend on how competing consolidators allocate fixed costs among subscribers receiving different subsets of data. As discussed in the Proposing Release,[2201] the Commission expects competing consolidators to offer a menu of products and services, regardless of the data content fee structure of the effective

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2197 One commenter stated that the distinction between professional and non-professional users and the corresponding price differences between those categories should be retained under the amendments. See Angel Letter at 9. Within 150 days of the effectiveness of Rule 614, the Operating Committee(s) of the effective national market system plan(s) will be required to propose the data content fees for the SROs' data required to create consolidated market data and will then file the proposed fees with the Commission for consideration pursuant to Rule 608. See supra Section III.H.1. Thus the Commission is uncertain about the potential data content fee structure the effective national market system plan(s) will propose.

2198 One commenter said that "[u]sage categories are complex and lack standardization in terminology across exchanges, leading to excessive audits and subjective interpretations about compliance with contractual agreements." See BlackRock Letter at 6.

2199 See NYSE Letter II at 20.

2200 The Commission has issued an order to modernize the governance of the data plans. See Proposing Release, 85 FR at n.8.

2201 See Proposing Release, 85 FR at Section VI.C.2(a).

national market system plan(s). Competing consolidators could elect to charge lower consolidation and dissemination fees to subscribers receiving subsets of data compared to fees charged to subscribers receiving the entirety of consolidated market data. In fact, the Commission believes that competitive pressure could result in such a fee structure. Additionally, some competing consolidators can specialize in serving market participants that prefer to consume subsets of consolidated market data. In such a case, these specialized competing consolidators might be able to lower some of their fixed costs (e.g., by signing up for a smaller, and therefore, cheaper connectivity port to take in only a subset of consolidated market data) and pass those cost savings in terms of lower consolidation and dissemination fees. Overall, the data consolidation and dissemination component of total fees charged to those who purchase content equivalent to SIP data could be lower than this component of current SIP data fees today.

c. Connectivity Fees

The fees for connectivity services paid by end users seeking to purchase only what was previously SIP data may decline for some users but could stay the same for others. Currently, some SIP data users connect to the exchanges that are the administrators of exclusive SIPs and pay connectivity fees to access the SIP data. These connectivity fees are paid directly to the exchanges and do not go to the exclusive SIPs. There are also SIP data users that do not connect to the exchanges and thus do not pay SRO connectivity fees for SIP data, but may pay fees to other market data service providers. Under this rule, subscribers may be charged a connectivity fee by competing consolidators when they subscribe to consolidated market data products. The Commission acknowledges that there is uncertainty over whether the competing consolidator connectivity fees would be similar to or smaller than what SIP data users currently pay in connectivity fees. The overall connectivity fees under this rule may be similar if competing

consolidators charge connectivity fees similar to what the current SIP data normalizers charge. As discussed above[2202] and in the Proposal[2203] and given the potential connectivity options available, the Commission believes competing consolidators will be under competitive pressure, and as such, they may offer a range of connectivity fees, including based on market participants' scope of data content and speed choice. In that case, SIP data subscribers who currently pay connectivity fees to the exchanges may see their connectivity fees decline.

d. Response to Comments on Fees for the Content of Current SIP Data

Several commenters argued that data fees for retail investors will go up and that those investors will effectively be subsidizing benefits incurred by self-aggregators or other market participants who use larger data content or the entirety of consolidated market data.[2204]

The Commission acknowledges that market participants who would like to purchase a narrower data content that is equivalent to the current SIP data might pay fees similar to the current SIP data fees. This is because it is uncertain whether the effective national market system plan(s) will implement a fee schedule that has different fees based on the scope of data content a market participant consumes or usage categories, whether competing consolidators will allocate their fixed costs taking into account consolidation and dissemination bandwidth their customers use based on their data content consumption or usage category, and at what level competing consolidators will charge connectivity fees. Despite this uncertainty, as discussed

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2202 See supra Section V.C.2(b)(i).

2203 See Proposing Release, 85 FR at Section V.C.2(b)(i).

2204 See, e.g., NYSE Letter II at 20; Angel Letter at 24; TD Ameritrade Letter at 4.

above, the Commission believes that there are several reasons why market participants who would like to purchase a narrower data content that is equivalent to the current SIP data might pay lower fees than the current SIP data fees.[2205] The Commission does not have enough information to determine whether these fees will be lower or similar.

**(c) Benefits of the Decentralized Consolidation Model Pertaining to Competing Consolidators**

As discussed above,[2206] currently SIP data is collected, consolidated, and disseminated to market participants through a centralized consolidation model with an exclusive SIP for each NMS stock. The amendments will discontinue the centralized model, and instead will introduce a decentralized consolidation model. Even though the current exclusive SIPs are selected through a bidding process,[2207] the Commission believes that a competitive marketplace is more capable of producing the benefits that come from competitive forces than the process of soliciting bids for exclusive contracts.[2208] In particular, the Commission believes that the decentralized consolidation model will have four potential benefits for market participants. First, the Commission believes that the decentralized consolidation model offers the potential for gains in efficiency in the delivery of consolidated market data products to emerge over time. Second,

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2205 See supra Section V.C.2(b)(ii) for a discussion on the reasons why data fees for investors who would like to purchase data content equivalent to the current SIP data might pay lower fees than the current SIP data fees.

2206 See supra Section V.B.2(b) for a discussion on the current process for dissemination of market data.

2207 See supra SectionV.B.3(a) for a discussion on why the SIP bidding process is not necessarily competitive.

2208 See supra Section V.A.2 for a discussion of the problems with the current process and infra Section V.D.2 for a discussion of the effect of the amendments on competition.

the Commission believes that the model will promote innovation in market data delivery in the future, in a way that the current centralized consolidation model has not. Third, the Commission expects that the new model will significantly reduce content and latency differentials that currently exist between SIP data and proprietary data products. Finally, the Commission believes that the decentralized consolidation model will potentially increase market resiliency.

The Commission acknowledges that some commenters raised issues about the potential benefits of the decentralized consolidation model predicted in the Proposing Release.[2209] However, other commenters stated that the decentralized consolidation model will bring potential benefits and agreed with the Commission's earlier predictions.[2210] The analysis responds to the comments below.

**(i) Gains in efficiency, such as cost savings**

The Commission believes that introducing competition into the provision of consolidated market data products and dissemination services will likely reduce costs and lower prices for those services, and create incentives for innovating on product offerings more tailored to the needs of the consumers.[2211] It is therefore the Commission's expectation that the decentralized consolidation model will result in a meaningful increase in investments intended to lower costs

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2209 See, e.g., STANY Letter II at 5; Healthy Markets Letter I at 4; TD Ameritrade Letter at 2; Kubitz Letter at 1.

2210 See, e.g., DOJ Letter at 3–4; IntelligentCross Letter at 4–5; Better Markets Letter at 3; Clearpool Letter at 7; MEMX Letter at 8; Committee on Capital Markets Regulation Letter at 3; FIA PTG Letter at 1; Steinmetz Letter (comment on entire proposal).

2211 See Section V.C.2(b) for an analysis of the potential for a reduction in the fees associated with of data consolidation and dissemination. See also, e.g., BestEx Research Letter at 4; Fidelity Letter at 9; Committee on Capital Markets Regulation Letter at 3; Wellington Letter at 1; RBC Letter at 6.

and/or improve quality in the provision of consolidated market data products. This represents an economic benefit for the national market system, some of which will be kept by competing consolidators as profit, and some of which will be received by market participants in the form of lower fees for competing consolidator services.

Some market participants may benefit as a result of the introduction of the decentralized consolidation model if they experience a lower price for consolidated market data relative to today's price for consolidated market data, holding data content constant.[2212]

Additionally, market participants could potentially save on the cost of consolidated market data because they will only need to subscribe to one competing consolidator instead of two exclusive SIPs (i.e., UTP and CTA/CTQ). To the extent market participants can subscribe to one competing consolidator, they could save money by not having to pay the costs of processing consolidated market data to two SIPs.[2213] To the extent that some market participants that receive consolidated market data products from competing consolidators that are not SCI entities choose to retain a back-up connection to a second competing consolidator, their cost savings could be lower. Finally, the amendments could improve efficiency in the consumption of market data because purchasers could receive consolidated market data products for all NMS stocks on one feed instead of three.[2214]

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2212 See supra Section V.C.2(b) for a discussion of why data fees might decline for some participants.

2213 One commenter agreed. See Angel Letter at 21. See also supra V.C.2(b) for a discussion of why competing consolidator fees for consolidation and dissemination are likely to be lower than current SIP fees for the same services.

2214 One commenter agreed. See BlackRock Letter at 5.

Several commenters raised issues about the prediction that the new decentralized consolidation model will lead to declines in market data costs.[2215] On the other hand, several commenters said that the decentralized consolidation model will lead to more efficient and lower cost market data products.[2216] As discussed in detail above, the Commission agrees with the second group of commenters and believes that competition will likely improve quality and lower market data costs.[2217]

**(ii) Innovation in Data Delivery**

Second, the Commission believes that the decentralized consolidation model will enable consolidated market data delivery to continue to keep up with market data communication innovations in the future, in a way that the current centralized consolidation model has not.[2218] This represents an improvement over the current system for dissemination of SIP data, in which the lack of competitors reduces the incentives of the exchanges that govern the exclusive SIPs to innovate.[2219] The Commission believes that the current system of disseminating SIP data through exclusive SIPs, which are managed by the Equity Data Plans' Operating Committees, is not well suited to keep up with the pace of innovation in data processing and communication in the market.[2220] The decentralized consolidation model will place the task of determining the

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2215 See, e.g., TD Ameritrade Letter at 2; Healthy Markets Letter I at 4; STANY Letter II at 5; Data Boiler Letter I at 2.

2216 See, e.g., BestEx Research Letter at 4; Fidelity Letter at 9; Committee on Capital Markets Regulation Letter at 3; Wellington Letter at 1; RBC Letter at 6.

2217 See supra Section V.C.2(b) for an analysis of the amendments' impact on data fees.

2218 One commenter agreed. See State Street Letter at 3.

2219 See supra Section V.A.2.

2220 See id.

method of consolidation and dissemination to free market forces, which the Commission believes will make it easier to innovate rapidly and maintain competitive parity with other market participants.[2221] The end result of this improved efficiency in investment decisions by consolidators will be to improve the quality and reliability of market data consolidation and dissemination services, which will result in market participants having better data to make trading decisions.[2222] The Commission believes this will lead to better trading decisions, lower execution costs, and will help reduce information asymmetries between market participants that currently solely rely on SIP data and market participants who purchase the exchanges' proprietary data products.[2223]

One commenter disagreed, stating that the Commission is actually replacing competition with "a government-supervised rate-setting board."[2224] The same commenter said that "[t]he Commission would no longer permit competition to determine the prices of market data or to spur innovation."[2225] Another commenter said that market data "should remain subject to market forces."[2226] The Commission disagrees with this characterization of the amendments. Under the amendments, the exchanges can continue to sell their proprietary data feeds by filing their fee schedules with the Commission, like they do today. In addition, similar to today, the effective

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2221 Several commenters agreed. See, e.g., State Street Letter at 3; ACS Execution Services Letter at 5.

2222 See infra Section V.D.1.

2223 Several commenters agreed. See, e.g., BlackRock Letter at 5–6; AHSAT Letter at 3.

2224 See Nasdaq Letter IV at 9.

2225 See Nasdaq Letter IV at 9.

2226 See WFE Letter at 1.

national market system plan(s) will file data content fees with the Commission for market data. Finally, as mentioned above, unlike the exclusive SIPs, competing consolidators' consolidation and dissemination fees will be determined by market forces.[2227]

**(iii) Reduce Latency Differentials**

Third, the Commission expects that the new model will significantly reduce the various types of content and latency differentials between data that is currently SIP data and data currently included in proprietary data products.[2228]

The Commission's belief that there will be a significant reduction in the latency differential between consolidated market data products and proprietary data feeds is based upon the Commission's assumption that the business practices of current market data aggregators, some of which expressed interest in becoming competing consolidators,[2229] will serve as a model for how competing consolidators will operate under the decentralized consolidation model.[2230] Current market data aggregators have achieved connectivity, transmission, consolidation, and

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2227 See supra Section V.C.2(b) for a discussion on competing consolidators' consolidation and dissemination prices.

2228 Several commenters agreed with the Proposal's predictions on latency reduction as a result of the decentralized consolidation model. See, e.g., IntelligentCross Letter at 4; DOJ Letter at 3–4; AHSAT Letter at 3; Wellington Letter at 1; BlackRock Letter at 5. See also supra Section V.B.2(b) for information on current latency differentials.

2229 Several commenters stated that they are interested in registering as competing consolidators. See, e.g., McKay Letter at 2; ACTIV Financial Letter at 1; NovaSparks Letter at 1. See also Press Release, Miami Int'l Holdings, Miami Int'l Holdings Announces That It Is Evaluating Registration as a Competing Consolidator (Nov. 18, 2020), available at https://www.miaxoptions.com/sites/default/files/press_release-files/MIAX_Press_Release_11182020.pdf.

2230 See supra Section V.C.2(a) for a discussion of the factors affecting the decision to become a competing consolidator.

distribution speeds that are meaningfully faster than SIP data even as they process larger amounts of data than SIP data.[2231] Therefore, the Commission believes that competition among competing consolidators will keep market data consolidation and distribution speeds close to the processing speeds achieved in the market data aggregation space currently.[2232]

The Commission believes that all forms of latency discussed previously—geographic, consolidation, and transmission latency[2233]—have the potential to be the source of these reductions in the latency differential. The Commission understands that the existing market data aggregator business does not rely on the single-instance consolidator model but instead produces a separate consolidated feed at each data center. This has the potential to substantially reduce geographic latency for data centers that are not co-located with one of the existing exclusive SIPs because it means new information at a data center can be used immediately at that data center instead of being returned to the processing center first. The Commission therefore expects that the decentralized consolidation model will serve to substantially reduce geographic latency in the same way for market participants. For instance, the existing market data aggregators already have infrastructure in place to consolidate market data in the described way. And if the existing exclusive SIPs become competing consolidators, they will also have to produce separate

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2231 The Commission believes that if the existing exclusive SIPs choose to become competing consolidators in the decentralized consolidation model, the competition with other competing consolidators will incentivize them to improve their connectivity, transmission, consolidation, and distribution speeds to the levels of other competing consolidators.

2232 See supra Section V.B.2(b) for a discussion on the latency differentials between SIP data and proprietary data feeds.

2233 See id.